

Technology - European Semiconductors | Europe

Implication of Intel's capex raise for ASML and ASMI

What happened? Intel (covered by Joe Moore) said on its earnings call last night that due to strong demand it is raising its 2026 capex outlook to be more than \$20bn, which is up significantly versus expectations entering the year. The company added that it's now in a good position on space/clean room capacity given prior years' investments, and that the bulk of incremental capex is being directed toward tooling. Equipment spend in 2026 is expected to increase 40% relative to 2025 with investments focused on front-end tools for the Intel 3, 18A and 18A-P nodes where it's "aggressively locking in tool purchase orders". Furthermore, Intel has stepped up investments last quarter for Intel 14A to prepare for risk reduction in 2027 and committed high-volume ramps in 2028. As a result Intel guided capex to be "significantly above the 2026 level" in 2027 (Joe Moore forecasts \$30bn). We expect ASML and ASMI to be key beneficiaries of these investments with Intel having historically represented >10% of equipment revenue at each:

- **Intel has always been a >10% customer for ASMI, on our estimates Investments skewing toward 18A and 14A particularly are particularly helpful.** Our detailed modelling goes back to 2022 where we estimate Intel represents 18% of revenues (that number was likely higher in the years prior). More recently we have assumed that Intel is one of two customers representing more than 10% of equipment revenue (MSe: c.11%). We currently forecast a modest, 15%, y/y increase followed by a more pronounced 35% bump in 2027. The announcement by Intel that it will not only increase investments but also increasingly focus on the advanced 18A and 14A nodes puts significant upward pressure on our estimates. We estimate that, similar to the 3nm vs. A14 node at TSMC, ASMI's addressable market per equivalent (1k wpm) capacity for Intel's 14A node vs. its Intel 3 node is significantly (c.40%) higher.
- **Supportive of ASML pricing.** We currently model only 1 EUV Low NA shipment to Intel this year (FY26) before ramping to 6 low NA tools next year (FY27) . With an indication for an earlier roll out of 14A we now think demand from Intel could be in the range of 2 to 4 low NA EUV tools this year. While we aren't changing our estimates, as we think this is now pushing against what ASML may be able to deliver, higher demand reaffirms our confidence in the company's ability to raise prices. As volumes ramp we expect ASML to become more efficient and alongside improved pricing dynamics we think this supports near-term margin improvement.

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Overweight/Buy	1544	42%	453	49%	29%	757	44%
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Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

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Infineon Technologies AG (IFXGn.DE)	O (02/06/2025)	€65.49
STMicroelectronics NV (STMPA.PA)	O (03/26/2026)	€47.95
Nigel van Putten		
Aixtron SE (AIXGn.DE)	E (05/25/2023)	€40.34
ASM International NV (ASMI.AS)	O (06/19/2024)	€873.60
BE Semiconductor Industries NV (BESI.AS)	O (11/07/2022)	€229.90
Melexis N.V. (MLXS.BR)	E (02/05/2026)	€72.35
Nordic Semiconductor ASA (NOD.OL)	E (02/10/2025)	NKr 164.00
Soitec SA (SOIT.PA)	O (03/26/2026)	€116.80
VAT Group AG (VACN.S)	E (03/21/2025)	SFr 647.60

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